KASNEB PASTPAPERS · CPA STUDY MATERIALS

Introduction to Law and Governance

Course: CS — Certified Secretaries

Level: Foundation Level (CS13)

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB CS Foundation Level Introduction to Law and Governance syllabus topics (CS13) — the Kenyan legal system, law of contract basics, and an introduction to governance concepts relevant to the company secretarial profession. Authored from general legal and governance knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. The Kenyan legal system and sources of law

Kenya's court hierarchy runs from subordinate courts, through the High Court, the Court of Appeal, to the Supreme Court. Sources of law include: the **Constitution** (supreme law), **legislation** (Acts of Parliament and subsidiary legislation), **case law** (judicial precedent), and **customary law** (where not inconsistent with the Constitution or statute).

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2. The law of contract — essential elements

A valid **contract** requires: **offer**, **acceptance** (unqualified agreement to the exact terms), **consideration**, **intention to create legal relations**, **capacity**, and **legality of object**. A company secretary regularly deals with contractual documents (board resolutions authorising contracts, service agreements), so understanding these basics is foundational to the wider governance role.

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3. Legal personality and types of business entity

A registered **company** has **separate legal personality** — distinct from its shareholders and directors, able to own property and contract in its own name — giving shareholders **limited liability**. Business entities range from sole proprietorships and partnerships (generally unlimited liability, no separate legal personality) to private and public limited companies (separate legal personality, limited liability, but greater regulatory obligations, especially for public companies).

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4. Introduction to company law concepts

Key company law concepts a company secretary must understand from the outset: the company's **memorandum and articles of association** (documents governing the company's constitution and internal rules), **shares and share capital** (ownership units and the capital they represent), and the basic **incorporation process** (registering a company as a distinct legal entity).

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5. What is governance, and why does it matter?

Corporate governance is the system of rules, practices and processes by which an organisation is directed and controlled, balancing the interests of shareholders, management and other stakeholders. Good governance matters because weak governance — unclear accountability, poor oversight, undocumented decisions — has repeatedly been linked to major corporate failures, eroding investor and public trust; strong governance protects an organisation's long-term reputation and stability.

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6. Governance structures — the board and shareholders

The **board of directors** provides oversight of management on behalf of shareholders, setting strategic direction and holding management accountable. **Shareholders** are the owners of the company, exercising their rights primarily through voting at general meetings (e.g. electing directors, approving major transactions). The separation between ownership (shareholders) and control (the board/management) is precisely why governance mechanisms — reporting, oversight, accountability structures — are needed in the first place.

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7. The role of the company secretary in governance

The **company secretary** sits at the centre of an organisation's governance machinery: advising the board on its legal and procedural obligations, ensuring meetings and resolutions follow correct procedure, maintaining statutory registers, and acting as the practical link between the board, shareholders, and regulators. Far from being a purely administrative role, an effective company secretary actively helps a board avoid governance failures by ensuring proper process is followed and properly documented at every stage.

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8. Regulatory bodies relevant to governance in Kenya

Governance-relevant regulators in Kenya include the **Capital Markets Authority (CMA)**, which sets governance codes/guidelines for listed companies, and sector-specific regulators (e.g. for banks, insurers) that impose their own governance requirements. Compliance with applicable governance codes is a signal (though not a guarantee) of lower governance risk for the organisations a company secretary serves.

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9. Full worked question — analysing a governance scenario

Scenario. A company's board consists entirely of executive directors (all also senior managers of the company), with no non-executive directors and no audit committee.

Required: (a) Identify the governance weakness in this board structure. (b) Explain the risk this creates. (c) Recommend an improvement.

Solution:

(a) The weakness is a **lack of independent oversight** — an all-executive board with no non-executive directors and no audit committee has no genuinely independent check on management's own decisions and financial reporting.

(b) This creates a risk that management's decisions and reported financial performance go effectively unchallenged internally, increasing the risk of poor decision-making, conflicts of interest, or even financial misstatement going undetected until an external party (auditor, regulator) eventually raises concerns.

(c) **Recommendation:** appoint suitably qualified, genuinely independent non-executive directors to the board, and establish an audit committee (chaired by, or substantially composed of, independent non-executive directors) to provide independent oversight of financial reporting and internal controls.

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10. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB CS examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CS FOUNDATION LEVEL — INTRODUCTION TO LAW AND GOVERNANCE (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Outline the hierarchy of courts in Kenya and FOUR sources of law. *(12 marks)*

(b) Outline the essential elements of a valid contract. *(8 marks)*

(Total: 20 marks)

QUESTION TWO

(a) Explain the concept of "separate legal personality" and its significance for shareholders. *(10 marks)*

(b) Distinguish between a sole proprietorship and a limited company in terms of liability and legal personality. *(10 marks)*

(Total: 20 marks)

QUESTION THREE

(a) Define "corporate governance" and explain why it matters to an organisation. *(10 marks)*

(b) Explain the roles of the board of directors and shareholders, and why their separation creates a need for governance mechanisms. *(10 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Outline the role of the company secretary in an organisation's governance. *(12 marks)*

(b) Outline the role of the Capital Markets Authority in relation to governance of listed companies. *(8 marks)*

(Total: 20 marks)

QUESTION FIVE

A company's board has 8 directors, all of whom are also executive managers, with no non-executive directors and no board committees.

(a) Identify the governance weakness present. *(6 marks)*

(b) Explain the risk this weakness creates. *(8 marks)*

(c) Recommend how the company could address this weakness. *(6 marks)*

(Total: 20 marks)

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11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(12 marks)* — Subordinate courts → High Court → Court of Appeal → Supreme Court; sources: Constitution, legislation, case law, customary law (3 marks each).

(b) *(8 marks)* — Offer, acceptance, consideration, intention to create legal relations (capacity and legality of object also acceptable) — 2 marks each up to 8.

QUESTION TWO

(a) *(10 marks)* — Separate legal personality means a company is distinct from its shareholders/directors, able to own property and contract in its own name; gives shareholders limited liability, protecting personal assets beyond their agreed investment.

(b) *(10 marks)* — Sole proprietorship: no separate legal personality, unlimited liability. Limited company: separate legal personality, shareholders' liability limited to their investment.

QUESTION THREE

(a) *(10 marks)* — Corporate governance is the system of rules/practices/processes directing and controlling an organisation, balancing stakeholder interests; matters because weak governance is linked to major corporate failures and erodes trust.

(b) *(10 marks)* — The board oversees management on shareholders' behalf, setting direction and holding management accountable; shareholders own the company, exercising rights via voting; the separation of ownership and control is exactly why governance/accountability mechanisms are needed.

QUESTION FOUR

(a) *(12 marks)* — Advising the board on legal/procedural obligations; ensuring meetings/resolutions follow correct procedure; maintaining statutory registers; linking the board, shareholders and regulators (any four points, 3 marks each).

(b) *(8 marks)* — The CMA sets governance codes/guidelines for listed companies, covering board composition, disclosure and shareholder rights, which listed entities are expected to follow.

QUESTION FIVE

(a) *(6 marks)* — Lack of independent oversight — an all-executive board with no non-executive directors or committees.

(b) *(8 marks)* — Management's decisions and financial reporting go effectively unchallenged internally, increasing the risk of poor decisions, conflicts of interest, or undetected misstatement.

(c) *(6 marks)* — Appoint genuinely independent non-executive directors and establish an audit committee (or other relevant board committees) with substantial independent representation.

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12. Exam technique and revision checklist

- Court hierarchy and sources of law: state them in the correct order/completeness — a commonly and specifically tested list.

- Separate legal personality and limited liability: always explain both clearly and how they relate, since they're frequently tested together.
- Governance scenario questions: always follow "identify the weakness" with a clear risk explanation AND a specific, practical recommendation.
- Company secretary role questions: name specific functions (advising, procedural compliance, statutory registers, stakeholder link) rather than a vague "administrative support."
- Regulatory body questions: know CMA's specific governance-related role precisely, distinct from its wider capital-markets functions.

Quick revision — one line per topic:

1. Court hierarchy: subordinate → High Court → Court of Appeal → Supreme Court.
2. Sources of law: Constitution, legislation, case law, customary law.
3. Contract needs: offer, acceptance, consideration, intention, capacity, legality of object.
4. Separate legal personality → limited liability for shareholders.
5. Corporate governance: rules/practices/processes directing and controlling an organisation.
6. Board (oversight/direction) vs shareholders (ownership, vote at meetings) — separation drives need for governance.
7. Company secretary: advises board, ensures procedure, maintains registers, links stakeholders.
8. CMA: sets governance codes for listed companies.

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.